

TOWN OF CORNWALL
CONSOLIDATED FINANCIAL STATEMENTS
MARCH 31, 2021

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MANAGEMENT'S RESPONSIBILITY FOR THE CONSOLIDATED FINANCIAL STATEMENTS

The accompanying consolidated financial statements of the Town of Cornwall are the responsibility of management and have been prepared in accordance with Canadian accounting standards for the public sector. A summary of the significant accounting policies are described in the consolidated financial statements. The preparation of consolidated financial statements necessarily involves the use of estimates based on management's judgment, particularly when transactions affecting the current period cannot be finalized with a certainty until future periods.

To meet its responsibility, management maintains a system of internal controls designed to provide reasonable assurance that assets are safeguarded, transactions are properly authorized and recorded in compliance with legislative and regulatory requirements, and reliable financial information is available on a timely basis for preparation of the consolidated financial statements. These systems are monitored and evaluated by management.

Mayor and Council meet with management and the external auditors to review the consolidated financial statements and discuss any significant financial reporting or internal control matters prior to their approval of the consolidated financial statements.

The consolidated financial statements have been audited by MRSB Chartered Professional Accountants Inc., independent external auditors appointed by the Town. The accompanying Independent Auditor's Report outlines their responsibilities, the scope of their examination and their opinion on the consolidated financial statements.

On behalf of the Town of Cornwall



Chief Administrative Officer

September 8, 2021

TO THE MAYOR AND MEMBERS OF COUNCIL

In our opinion, the accompanying consolidated financial statements present fairly, in all material respects, the financial position of the Town of Cornwall as at March 31, 2021, and the results of its operations and its cash flow for the year then ended in accordance with Canadian accounting standards for the public sector.

We conducted our audit in accordance with Canadian generally accepted auditing standards. Our responsibilities under those standards are further described in the Auditor's Responsibilities for the Audit of the Consolidated Financial Statements section of our report. We are independent of the entity in accordance with the ethical requirements that are relevant to our audit of the consolidated financial statements in Canada, and we have fulfilled our other ethical responsibilities in accordance with those requirements. We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our opinion.

Management is responsible for the preparation and fair presentation of these consolidated financial statements in accordance with Canadian accounting standards for the public sector and for such internal control as management determines is necessary to enable the preparation of consolidated financial statements that are free from material misstatement, whether due to fraud or error.

Those charged with governance are responsible for overseeing the entity's financial reporting process.

Our objectives are to obtain reasonable assurance about whether the consolidated financial statements as a whole are free from material misstatement, whether due to fraud or error, and to issue an auditor's report that includes our opinion. Reasonable assurance is a high level of assurance, but it is not a guarantee that an audit conducted in accordance with Canadian generally accepted auditing standards will always detect a material misstatement when it exists. Misstatements can arise from fraud or error and are considered material if, individually or in the aggregate, they could reasonably be expected to influence the economic decisions of users taken on the basis of these consolidated financial statements. As part of an audit in accordance with Canadian generally accepted auditing standards, we exercise professional judgment and maintain professional skepticism throughout the audit. We also:

- Identify and assess the risks of material misstatement of the financial statements, whether due to fraud or error, design and perform audit procedures responsive to those risks, and obtain audit evidence that is sufficient and appropriate to provide a basis for our opinion. The risk of not detecting a material misstatement resulting from fraud is higher than for one resulting from error, as fraud may involve collusion, forgery, intentional omissions, misrepresentations, or the override of internal control.

- Obtain an understanding of internal control relevant to the audit in order to design audit procedures that are appropriate in the circumstances, but not for the purpose of expressing an opinion on the effectiveness of the entity's internal control.

- Evaluate the appropriateness of accounting policies used and the reasonableness of accounting estimates and related disclosures made by management.

- Conclude on the appropriateness of management's use of the going concern basis of accounting and, based on the audit evidence obtained, whether a material uncertainty exists related to events or conditions that may cast significant doubt on the entity's ability to continue as a going concern. If we conclude that a material uncertainty exists, we are required to draw our attention in our auditor's report to the related disclosures in the consolidated financial statements or, if such disclosures are inadequate, to modify our opinion. Our conclusions are based on the audit evidence obtained up to the date of our auditor's report. However, future events or conditions may cause the entity to cease to continue as a going concern.

- Evaluate the overall presentation, structure and content of the consolidated financial statements, including the disclosures, and whether the consolidated financial statements represent the underlying transactions and events in a manner that achieves fair presentation.

We communicate with those charged with governance regarding, among other matters, the planned scope and timing of the audit and significant audit findings, including any significant deficiencies in internal control that we identify during our audit.

MRSB Chartered Professional Accountants Inc.

CHARLOTTETOWN, P.E.I.

SEPTEMBER 8, 2021

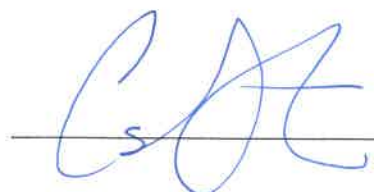
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**TOWN OF CORNWALL
CONSOLIDATED STATEMENT OF FINANCIAL POSITION
MARCH 31, 2021**

	2021	2020
Financial Assets		
Unrestricted cash	\$ 595,083	\$ 600
Restricted cash	532,616	1,659,055
Accounts receivable	928,757	600,450
	<u>2,056,456</u>	<u>2,260,105</u>
Liabilities		
Bank indebtedness - Note 3	88,289	457,804
Demand loans - Note 4	300,000	700,000
Accounts payable and accrued liabilities	750,036	677,801
Deferred revenue - Note 5	745,263	1,402,875
Retirement obligation - Note 6	156,200	138,689
Long term debt - Note 7	3,169,371	3,647,915
	<u>5,209,159</u>	<u>7,025,084</u>
Net Debt - Statement 3	<u>(3,152,703)</u>	<u>(4,764,979)</u>
Non-Financial Assets		
Prepaid expenses	63,193	55,698
Tangible capital assets - Schedules 1 and 2	30,474,657	29,045,877
	<u>30,537,850</u>	<u>29,101,575</u>
Accumulated Surplus	<u>\$ 27,385,147</u>	<u>\$ 24,336,596</u>
Commitments - Note 8		
Contingencies - Note 9		
Municipal Position		
Accumulated surplus - Statement 2	<u>\$ 27,385,147</u>	<u>\$ 24,336,596</u>

ON BEHALF OF THE COUNCIL:

 Mayor

 Councillor

(Notes 1 to 18 are an integral part of these consolidated financial statements)

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**TOWN OF CORNWALL
CONSOLIDATED STATEMENT OF OPERATIONS
YEAR ENDED MARCH 31, 2021**

	Budget 2021	Actual 2021	Actual 2020
Revenues			
Town - Schedule 3	\$ 3,314,029	\$ 4,636,680	\$ 3,634,768
Water and Sewer Utility - Schedule 4	1,485,242	3,003,047	1,817,692
Parks and Recreation - Schedule 5	333,470	485,137	509,232
	<u>5,132,741</u>	<u>8,124,864</u>	<u>5,961,692</u>
Expenditures			
Town - Schedule 3	2,652,338	2,779,696	3,350,715
Water and Sewer Utility - Schedule 4	979,506	1,241,973	1,218,655
Parks and Recreation - Schedule 5	1,112,889	1,054,644	894,084
	<u>4,744,733</u>	<u>5,076,313</u>	<u>5,463,454</u>
Change in Fund Balances	<u>\$ 388,008</u>	3,048,551	498,238
Accumulated Surplus - Beginning of Year		<u>24,336,596</u>	<u>23,838,358</u>
Accumulated Surplus - End of Year - Note 10		<u>\$ 27,385,147</u>	<u>\$ 24,336,596</u>

(Notes 1 to 18 are an integral part of these consolidated financial statements)

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TOWN OF CORNWALL
CONSOLIDATED STATEMENT OF CHANGES IN NET DEBT
YEAR ENDED MARCH 31, 2021

	Budget 2021	Actual 2021	Actual 2020
Change in fund balances	\$ 388,008	\$ 3,048,551	\$ 498,238
Amortization of tangible capital assets	-	932,953	1,362,324
Purchase of tangible capital assets	(7,248,589)	(3,086,263)	(1,447,360)
Increase in prepaid expenses	-	(7,495)	(2,013)
Gain on sale of tangible capital assets	-	(470)	-
Proceeds from sale of tangible capital assets	-	725,000	-
(Increase) Decrease in Net Debt	(6,860,581)	1,612,276	411,189
Net Debt - Beginning of Year	(4,764,979)	(4,764,979)	(5,176,168)
Net Debt - End of Year	\$ (11,625,560)	\$ (3,152,703)	\$ (4,764,979)

(Notes 1 to 18 are an integral part of these consolidated financial statements)

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**TOWN OF CORNWALL
CONSOLIDATED STATEMENT OF CASH FLOW
YEAR ENDED MARCH 31, 2021**

	2021	2020
Cash Flows From Operating Activities		
Change in fund balances	\$ 3,048,551	\$ 498,238
Amortization of tangible capital assets	932,953	1,362,324
Gain on sale of tangible capital assets	(470)	-
	<u>3,981,034</u>	<u>1,860,562</u>
Change in Non-Cash Working Capital		
Increase in accounts receivable	(328,307)	(26,202)
Increase in prepaid expenses	(7,495)	(2,010)
Increase in accounts payable and accrued liabilities	72,235	89,376
Increase (decrease) in deferred revenue	(657,613)	808,220
Increase in retirement obligation	17,511	26,809
	<u>(903,669)</u>	<u>896,193</u>
	<u>3,077,365</u>	<u>2,756,755</u>
Cash Flows From Capital Activities		
Purchase of tangible capital assets	(3,086,263)	(1,447,360)
Proceeds from sale of tangible capital assets	725,000	-
	<u>(2,361,263)</u>	<u>(1,447,360)</u>
Cash Flows From Financing Activities		
Repayment of long term debt	(478,543)	(459,385)
Repayment of operating loans	(400,000)	(100,000)
	<u>(878,543)</u>	<u>(559,385)</u>
Increase (Decrease) in Cash	<u>(162,441)</u>	<u>750,010</u>
Cash - Beginning of Year	<u>1,201,851</u>	<u>451,841</u>
Cash - End of Year	<u>\$ 1,039,410</u>	<u>\$ 1,201,851</u>
Cash Consists of:		
Unrestricted cash	\$ 595,083	\$ 600
Restricted cash	532,616	1,659,055
Bank indebtedness	(88,289)	(457,804)
	<u>\$ 1,039,410</u>	<u>\$ 1,201,851</u>

(Notes 1 to 18 are an integral part of these consolidated financial statements)

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**TOWN OF CORNWALL
NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS
YEAR ENDED MARCH 31, 2021**

1. Description of Business

The Town of Cornwall ("the Town") was incorporated under the Charlottetown Area Municipalities Act and continued under the Municipal Government Act. The Town is a non-profit organization under the Income Tax Act. The Town manages the municipal operations and also provides sewer and water services to its residents.

2. Accounting Policies

Basis of Preparation

These consolidated financial statements of the Town of Cornwall have been prepared by management in accordance with Canadian accounting standards for the public sector.

These consolidated financial statements are prepared using the accrual basis of accounting. The accrual basis of accounting records revenue as it is earned and measurable. Expenditures are recognized as they are incurred and measurable based upon receipt of goods or services and/or the legal obligation to pay.

Funds from external parties and earnings thereon restricted by agreement or legislation are accounted for as deferred revenue until used for the purpose specified.

Government transfers, contributions and other amounts are received from third parties pursuant to legislation, regulation or agreement and may only be used for certain programs in the completion of specific work. In addition, certain user charges and fees are collected for which the related services have yet to be performed. Revenue is recognized in the period when the related expenditures are incurred or services performed.

Basis of Consolidation

These consolidated financial statements for the Town of Cornwall reflect the assets, liabilities, revenues, expenditures, change in net debt and change in financial position of the Town. The Town is comprised of the municipal operations plus all of the organizations that are owned or controlled by the Town and are, therefore, accountable to the Town Council for the administration of their financial affairs and resources. Included with the municipality is the following:

Cornwall Water and Sewer Utility Corporation

Change in Accounting Estimate

During the year, the Town revised accounting estimates for useful life of tangible capital assets. This change in accounting estimate is reflected in the amortization expense for the current period and will be adopted for future periods.

Cash

Cash comprises cash on hand, cash in banks and bank indebtedness.

TOWN OF CORNWALL
NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS
YEAR ENDED MARCH 31, 2021

2. Accounting Policies (cont'd)

Accounts Receivable

Accounts receivable arise from sewer and water levies, Harmonized Sales Tax recoverable, government funding and miscellaneous receivables. An allowance for bad debts would be calculated through discussions with management, assessment of the other circumstances influencing the collectibility of amounts and using historical loss experience. Amounts deemed non-collectible are written off and deducted from the carrying value of the receivable. Amounts subsequently recovered from accounts previously written off are credited to the allowance account in the period of recovery.

Tangible Capital Assets

Tangible capital assets are recorded at cost which includes all amounts that are directly attributable to acquisition, construction, development or betterment of the asset. The cost, less residual value of the tangible capital assets, is amortized on a straight-line basis over the estimated useful life as follows:

Buildings	50 years
Sidewalks	30 years
Trails, parks, and gardens	30 years
Pool	30 years
Sportsfields	20 years
Transit bus	10 years
Public works equipment	10 years
Recreation equipment	10 years
Vehicles and trailers	7 years
Plans	7 years
Town equipment	5 years
Sewer system	75 years
Water system	75 years
Meters	25 years
SCADA	20 years
Utility equipment	10 years
Vehicles and trailers	7 years
Office equipment and plans	5 years

Cornwall Water and Sewer Utility Corporation anticipates recovery of all of the costs related to the waterline installation on Osprey Avenue from Ferry Road to Primrose Drive from the developer. Cornwall Water and Sewer Utility Corporation estimates the recovery to be approximately \$97,147.

The anticipated recovery of these costs has not been reflected in the financial statements as the events giving rise to the recovery have not yet occurred.

Employee Future Benefits

Provision is made for benefits accruing to employees in respect of wages and salaries, retiring allowances, and defined contributions to employee benefit plans when it is probable that settlement will be required and they are capable of being measured reliably.

TOWN OF CORNWALL
NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS
YEAR ENDED MARCH 31, 2021

2. Accounting Policies (cont'd)

Non-Financial Assets

Non-financial assets are not available to discharge existing liabilities and are held for the use in the provision of services. They have useful lives extending beyond the current year and are not intended for sale in the normal course of operations. The change in non-financial assets during the year, together with the annual surplus, provides the consolidated change in net debt for the year.

Government Transfers

Government transfers are the transfer of assets from senior levels of government that are not the result of an exchange transaction, are not expected to be repaid in the future, or the result of a direct financial return.

Government transfers are recognized in the financial statements as revenue in the year in which events giving rise to the transfer occur, providing the transfers are authorized, any eligibility criteria have been met, and reasonable estimates on the amounts can be determined.

Revenue Recognition

The Town follows the deferral method of accounting for contributions and grants. Restricted contributions are recognized as revenue in the year in which the related expenditures are incurred. Unrestricted contributions are recognized as revenue when received or receivable if the amount to be received can be reasonably estimated and collection is reasonably assured.

Property tax billings are based on the assessed value of real property in the Town and are payable in each calendar year. Municipal tax rates are reviewed, established and approved annually by the Town council. These revenues are recognized monthly as amounts are received from Province of Prince Edward Island.

Financial Instruments

Financial instruments are recorded at fair value when acquired or issued. In subsequent periods, financial assets with actively traded markets are reported at fair value, with any unrealized gains and losses reported in surplus. All other financial instruments are reported at amortized cost, and tested for impairment at each reporting date. Transaction costs on the acquisition, sale, or issue of financial instruments that are subsequently measured at amortized cost are shown as an adjustment to the carrying value of the related financial instrument.

Management Estimates

The presentation of the consolidated financial statements in conformity with Canadian accounting standards for the public sector requires management to make estimates and assumptions that affect the reported amount of assets and liabilities at the date of the consolidated financial statements, and the reported amounts of revenues and expenditures during the reporting period. Actual results could differ from management's best estimates as additional information becomes available in the future. The following are areas in which management makes significant accounting estimates:

- The amounts recorded for amortization of tangible capital assets on the consolidated statement of operations is subject to management's assessment of the estimated useful lives of the Town's tangible capital assets; and
- The recognized amounts of potential claims and liabilities depend on management's assessment of future costs and the probability these events will occur.

TOWN OF CORNWALL
NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS
YEAR ENDED MARCH 31, 2021

3. Bank Indebtedness

	2021	2020
Town		
National Bank of Canada	\$ -	\$ 390,751
Utility		
National Bank of Canada	<u>88,289</u>	<u>67,053</u>
	<u>\$ 88,289</u>	<u>\$ 457,804</u>

4. Demand Loans

Town		
National Bank - prime rate less 0.75%; interest due monthly; maximum limit of \$1,000,000; renewable June 30, 2024	\$ -	\$ 300,000
Utility		
National Bank - prime rate less 0.75%; interest due monthly; maximum limit of \$550,000; renewable June 30, 2024	-	400,000
National Bank - prime rate less 0.75%; interest due monthly; maximum limit of \$2,614,244; due on demand	<u>300,000</u>	<u>-</u>
	<u>\$ 300,000</u>	<u>\$ 700,000</u>

The Town must maintain the following financial ratios at all times:

- Working capital of at least \$1,000
- Working capital ratio of at least 1:1

5. Deferred Revenue

Active Transportation	\$ 353,220	\$ -
Province of PEI Safe Restart funding	169,101	-
Subdivision parkland reserve	149,747	149,747
New Deal Gas Tax Funding	33,256	1,220,817
Program funding	22,124	14,496
Parkland dedication reserve	<u>17,815</u>	<u>17,815</u>
	<u>\$ 745,263</u>	<u>\$ 1,402,875</u>

Under the New Deal Gas Tax Funding for Incorporated Communities and the New Deal for Cities & Communities, the Town was allocated annual funding of \$489,211 for fiscal 2021. These funds, along with interest earned, must be used for eligible infrastructure and capacity building projects. Any funds received under this program, including interest earned, but not yet spent are recognized as deferred revenue at the end of the year.

During the year, the Town received Gas Tax funding of \$489,211 and incurred eligible expenditures of \$1,723,755.

TOWN OF CORNWALL
NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS
YEAR ENDED MARCH 31, 2021

6. Retirement Obligation

The Town accrues a retirement allowance for certain employees over the age of 50. The Town has calculated an estimated reserve based on one week retirement allowance for each employee anticipated to meet the criteria. The expense for the plan is equal to the change in estimated allowance for the year which was \$17,511 (2020 - \$1,434). The retirement obligation allowance is included in the restricted cash balance.

7. Long Term Debt

	2021	2020
Town		
National Bank of Canada - 3.23%; repayable in blended monthly installments of \$8,534; unsecured; renewable November 20, 2024	\$ 994,406	\$ 1,063,468
National Bank of Canada - 2.65%; repayable in blended monthly installments of \$12,932; unsecured; amortized to July 2031; renewable July 20, 2026	773,546	906,302
National Bank of Canada - 3.25%; repayable in blended monthly installments of \$4,091; unsecured; renewable February 1, 2022	44,711	91,514
Utility		
National Bank of Canada - 3.00%; repayable in blended monthly installments of \$13,178; unsecured; amortized to April 2027; renewable April 3, 2027	878,691	1,008,336
National Bank of Canada - 2.4%; repayable in blended monthly installments of \$9,671; unsecured; amortized to August 2032; renewable July 26, 2025	478,017	578,295
	<u>\$ 3,169,371</u>	<u>\$ 3,647,915</u>

Principal portion of long term debt is expected to be repaid over the next five years as follows:

2022	\$ 491,718
2023	459,632
2024	472,618
2025	1,180,698
2026	341,578

**TOWN OF CORNWALL
NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS
YEAR ENDED MARCH 31, 2021**

8. Commitments

The Town has entered into an agreement with the Eastern School District for the period of October 19, 2005 to October 18, 2025 for the development of sports fields located on the Eastern School District lands, including responsibilities for each party. The agreement may be extended for a further ten years on the same terms if both parties agree to the extension. The Eastern School District agrees to lease to the Town the Eastern School District portion of the Sports Fields during the twenty year term and can be extended a further ten years. The Town shall have right of first refusal should the Eastern School District be desirous of selling its interest in the sports field.

The Town has entered into a lease agreement with DeLage Landen Financial Services for the lease of a photocopier and a contract agreement with the PEI Humane Society for animal control services. The minimum payments due over the next five years are as follows:

2022	\$ 13,992
2023	14,232
2024	14,484
2025	1,920
2026	480

9. Contingencies

The Town commenced a legal action against a resident for reimbursement of expenses incurred in the cleanup of a property. The resident has filed a cross claim with no amount formally claimed as of yet. In the opinion of management and legal counsel, the likelihood of any liability to the Town is unknown at this time. Should any loss result from the resolution of these claims, such loss will be charged to operations in the year of resolution.

A statement of claim was filed against the Town, which seeks removal of a berm that the Town had constructed on another company's property. The claim alleges that the berm causes run-off and water damage to the company's buildings. The company seeks an unspecified amount for damages and other costs and expenses. The Town has filed a statement of defence, but the liability remains in dispute at the reporting date. In the opinion of management and legal counsel, the likelihood of any liability to the Town is unknown at this time. Should any loss result from future legal action, such loss will be charged to operations in the year of resolution.

10. Accumulated Surplus

	2021	2020
Unrestricted surplus (deficit)	\$ 79,861	\$ (1,061,366)
Investment in tangible capital assets - Note 11	<u>27,305,286</u>	<u>25,397,962</u>
	<u>\$ 27,385,147</u>	<u>\$ 24,336,596</u>

TOWN OF CORNWALL
NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS
YEAR ENDED MARCH 31, 2021

11. Investment in Tangible Capital Assets

	2021	2020
Tangible capital assets - Schedules 1 and 2	\$ 46,057,490	\$ 43,695,757
Accumulated amortization - Schedules 1 and 2	(15,582,833)	(14,649,880)
Long term debt - Note 7	(3,169,371)	(3,647,915)
	<u>\$ 27,305,286</u>	<u>\$ 25,397,962</u>

12. Government Transfers For Capital

Town		
New Deal Gas Tax	\$ 914,493	\$ 373,976
Municipal Capital Expenditure Grant	122,596	48,262
Active Transportation Funding	120,750	-
Province of PEI Safe Restart Funding	14,317	-
	<u>1,172,156</u>	<u>422,238</u>
 Water and Sewer Utility		
New Deal Gas Tax	762,279	206,854
Investing in Canada Infrastructure Program	689,016	204,733
Municipal Capital Expenditure Grant	168,694	74,257
Clean Water Wastewater Fund	-	204,733
	<u>1,619,989</u>	<u>485,844</u>
	<u>\$ 2,792,145</u>	<u>\$ 908,082</u>

13. Government Transfers For Operations

	Budget 2021	Actual 2021	Actual 2020
Town			
Provincial equalization grant	\$ 410,279	\$ 410,279	\$ 381,088
Provincial safe restart program	-	66,652	-
Other program support	-	10,000	11,105
	<u>\$ 410,279</u>	<u>\$ 486,931</u>	<u>\$ 392,193</u>

14. Administration Fee

During the year, the Town received a management fee totaling \$75,000 (2020 - \$75,000) from the Cornwall Water and Sewer Utility Corporation for payment of the administration costs incurred by the Town on behalf of the Utility. The transaction was in the ordinary course of business and was reflected at fair market value.

**TOWN OF CORNWALL
NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS
YEAR ENDED MARCH 31, 2021**

15. Budget Figures

A reconciliation of the 2021 fiscal operating budget prepared by Council to the budget figures disclosed in the consolidated financial statements is as follows:

	2021
Town of Cornwall and Utility budgeted surplus	\$ 970,628
Add: Debt retirement	438,293
Add: Capital expenditures	75,000
Less: Water and Sewer Utility 2020 surplus	(681,970)
Less: Town of Cornwall 2020 surplus	(413,943)
	<u>\$ 388,008</u>

Amortization was not included in the budgeted expense figures in the statements of operations, change in net debt and schedules since it was not part of the scope of the Town's original operating budget.

The columns presented as budget on the statements of operations and the attached schedules were not subject to audit or review by the external auditor.

16. Financial Instruments

The Town's financial instruments consist of cash, accounts receivable, bank indebtedness, operating loans, accounts payable and accrued liabilities, retirement obligation and long term debt.

The Town is exposed to various risks through its financial instruments and has a comprehensive risk management framework to monitor, evaluate and manage these risks. The following analysis provides information about the Town's risk exposure and concentration as of March 31, 2021.

Credit risk

Credit risk arises from the potential that a counter party will fail to perform its obligations. The Town is exposed to credit risk from customers. An allowance for doubtful accounts is established based upon factors surrounding the credit risk of specific accounts, historical trends and other information. The Town has a significant number of customers which minimizes concentration of credit risk.

Interest rate risk

Interest rate risk is the risk that the value of a financial instrument might be adversely affected by a change in the interest rates. In seeking to minimize the risks from interest rate fluctuations, the Town manages exposure through its normal operating and financing activities. The Town is exposed to interest rate risk primarily through its interest rates on demand loans and long term debt that could change upon the maturity date.

Liquidity risk

Liquidity risk is the risk that an entity will encounter difficulty in meeting obligations associated with financial liabilities. The Town is exposed to this risk mainly in respect of receipt of government funding, long term debt and accounts payable.

TOWN OF CORNWALL
NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS
YEAR ENDED MARCH 31, 2021

17. Segment Disclosure

The Town is a diversified municipal unit that provides a wide range of services to its citizens. For management reporting purposes the Town's operations and activities are organized and reported by segment. The major segments are as follows:

Water and Sewer Utility

This segment is responsible for the maintenance and operations of water and sewer services provided to residents and other customers.

Parks and Recreation

This segment is responsible for promoting and offering recreation opportunities and activities for its residents. Its tasks include the operations and maintenance of the Town parks and recreational buildings.

General Government

This segment is responsible for the overall financial and local government administration. Its tasks include, but are not limited to, daily accounting functions, preparation and coordination of annual audited consolidated financial statements, development of the annual budget, human resource functions for the entire municipality, maintenance of bylaws and policies, oversight of public works, maintenance of Town facilities, and administration of Town services.

18. Subsequent Events

The outbreak of the Coronavirus Disease 2019, or COVID-19, has spread across the globe and is impacting worldwide economic activity. This global pandemic poses the risk that the Town or its residents, employees, contractors, suppliers and other partners may be unable to conduct regular business activities for an indefinite period of time. While it is not possible at this time to estimate the impact that COVID-19 could have on the Town's business, the continued spread of COVID-19 and the measures taken by the federal and provincial governments to contain its impact could adversely impact the Town's business, financial condition or results of operations. The extent to which the COVID-19 outbreak impacts the Town's results will depend on future developments that are highly uncertain and cannot be predicted, including new information that may emerge concerning the spread of the virus and government actions.

On May 14, 2021, the Town of Cornwall agreed to purchase 50 of the Government of Prince Edward Island's shares of the Charlottetown Area and Development Corporation (CADC) for a total price of \$111,810. On or before the two year anniversary of the closing date, Town of Cornwall may, by written notice delivered on or before the expiry of such period, demand that the Province repurchase the shares.

TOWN OF CORNWALL
SCHEDULES TO THE CONSOLIDATED FINANCIAL STATEMENTS
TANGIBLE CAPITAL ASSETS
YEAR ENDED MARCH 31, 2021

	Cost Beginning of Year	Cost Additions	Disposals and Write- Downs	Cost End of Year	Accum Amort Beginning	Amort in Year	Disposals	Accum Amort Ending	Net Book Value
Town									
Land	\$ 1,290,799	\$ 5,969	\$ 724,530	\$ 572,238	\$ -	\$ -	\$ -	\$ -	\$ 572,238
Town buildings	1,929,547	-	-	1,929,547	1,087,864	38,591	-	1,126,455	803,092
Public works buildings	369,095	-	-	369,095	230,490	9,856	-	240,346	128,749
Recreation buildings	3,578,534	28,855	-	3,607,389	1,606,248	70,710	-	1,676,958	1,930,431
Sidewalks	2,420,731	43,450	-	2,464,181	1,607,366	52,869	-	1,660,235	803,946
Trails, parks, and gardens	172,570	930,316	-	1,102,886	143,232	1,377	-	144,609	958,277
Pool	123,391	-	-	123,391	123,391	-	-	123,391	-
Sportsfields	4,744,205	142,416	-	4,886,621	3,155,673	240,377	-	3,396,050	1,490,571
Transit bus	476,514	62,184	-	538,698	306,169	47,652	-	353,821	184,877
Public works equipment	158,087	-	-	158,087	132,996	3,950	-	136,946	21,141
Recreation equipment	266,006	39,629	-	305,635	245,994	9,994	-	255,988	49,647
Public works vehicle and trailers	64,642	-	-	64,642	64,642	-	-	64,642	-
Recreation vehicles and trailers	213,829	-	-	213,829	213,741	88	-	213,829	-
Plans	217,614	-	-	217,614	107,887	40,177	-	148,064	69,550
Town equipment	267,695	17,517	-	285,212	231,021	14,734	-	245,755	39,457
Water & Sewer									
Land	764,043	-	-	764,043	-	-	-	-	764,043
Sewer system	15,100,090	372,944	-	15,473,034	2,962,709	201,335	-	3,164,044	12,308,990
Water system	10,958,411	1,114,874	-	12,073,285	2,174,846	140,337	-	2,315,183	9,758,102
Buildings	4,011	-	-	4,011	1,003	80	-	1,083	2,928
Meters	21,720	7,541	-	29,261	3,454	740	-	4,194	25,067
SCADA	43,764	289,590	-	333,354	525	2,188	-	2,713	330,641
Equipment	89,622	28,784	-	118,406	86,513	3,109	-	89,622	28,784
Vehicles and trailers	129,750	-	-	129,750	126,087	785	-	126,872	2,878
Office equipment and plans	291,087	2,194	-	293,281	38,029	54,004	-	92,033	201,248
	\$43,695,757	\$3,086,263	\$ 724,530	\$46,057,490	\$14,649,880	\$932,953	\$ -	\$15,582,833	\$30,474,657

(Notes 1 to 18 are an integral part of these consolidated financial statements)

TOWN OF CORNWALL
SCHEDULES TO THE CONSOLIDATED FINANCIAL STATEMENTS
TANGIBLE CAPITAL ASSETS
YEAR ENDED MARCH 31, 2020

Schedule 2									
	Cost Beginning of Year	Additions	Disposals and Write- Downs	Cost End of Year	Accum Amort Beginning	Amort in Year	Disposals	Accum Amort Ending	Net Book Value
Town	\$ 1,270,087	\$ 20,712	\$ -	\$ 1,290,799	\$ -	\$ -	\$ -	\$ -	\$ 1,290,799
Land	1,929,547	-	-	1,929,547	1,010,682	77,182	-	1,087,864	841,683
Town buildings	369,095	-	-	369,095	212,571	17,919	-	230,490	138,605
Public works buildings	3,578,534	-	-	3,578,534	1,438,083	168,165	-	1,606,248	1,972,286
Recreations buildings	2,387,113	33,618	-	2,420,731	1,447,636	159,730	-	1,607,366	813,365
Sidewalks	144,825	27,745	-	172,570	127,181	16,051	-	143,232	29,338
Trails, parks and gardens	123,391	-	-	123,391	123,391	-	-	123,391	-
Pool	4,456,657	287,548	-	4,744,205	2,762,592	393,081	-	3,155,673	1,588,532
Sportsfields	458,364	18,150	-	476,514	274,402	31,767	-	306,169	170,345
Transit bus	129,262	28,825	-	158,087	115,076	17,920	-	132,996	25,091
Public works equipment	248,327	17,679	-	266,006	227,868	18,126	-	245,994	20,012
Recreation equipment	64,642	-	-	64,642	64,642	-	-	64,642	-
Public works vehicle and trailers	213,829	-	-	213,829	205,214	8,527	-	213,741	88
Recreation vehicles and trailers	84,837	132,777	-	217,614	35,348	72,539	-	107,887	109,727
Plans	223,878	43,817	-	267,695	199,347	31,674	-	231,021	36,674
Town equipment									
Water & Sewer									
Land	470,391	293,652	-	764,043	-	-	-	-	764,043
Sewer system	15,092,163	7,927	-	15,100,090	2,781,508	181,201	-	2,962,709	12,137,381
Water system	10,746,280	212,131	-	10,958,411	2,043,345	131,501	-	2,174,846	8,783,565
Buildings	4,011	-	-	4,011	842	161	-	1,003	3,008
Meters	3,232	18,488	-	21,720	3,232	222	-	3,454	18,266
SCADA	-	43,764	-	43,764	-	525	-	525	43,239
Equipment	89,622	-	-	89,622	74,943	11,570	-	86,513	3,109
Vehicles & trailers	124,255	5,495	-	129,750	111,791	14,296	-	126,087	3,663
Office equipment & plans	36,055	255,032	-	291,087	27,862	10,167	-	38,029	253,058
	\$42,248,397	\$1,447,360	\$ -	\$43,695,757	\$13,287,556	\$1,362,324	\$ -	\$14,649,880	\$29,045,877

(Notes 1 to 18 are an integral part of these consolidated financial statements)

TOWN OF CORNWALL
SCHEDULES TO THE CONSOLIDATED FINANCIAL STATEMENTS
STATEMENT OF OPERATIONS - TOWN
YEAR ENDED MARCH 31, 2021

Schedule 3

	Budget 2021	Actual 2021	Actual 2020
Revenues			
Municipal property tax	\$ 2,585,210	\$ 2,735,115	\$ 2,526,824
Government transfers for capital - Note 12	140,000	1,172,156	422,238
Government transfers for operations - Note 13	410,279	486,931	392,193
Administration fee - Note 14	75,000	75,000	75,000
Building permits and subdivision fees	50,000	62,198	70,221
Fines	32,000	54,764	32,522
Contribution from developers	-	20,750	20,712
Interest	2,500	12,273	21,320
Facility rentals	14,040	12,340	14,996
Other	5,000	4,683	58,742
Gain on sale of tangible capital assets	-	470	-
	<u>3,314,029</u>	<u>4,636,680</u>	<u>3,634,768</u>
Expenditures			
Administration - Schedule 6	700,562	627,243	566,210
Planning - Schedule 6	222,552	228,221	223,719
Professional Services - Schedule 6	99,890	108,880	92,214
Public Works - Schedule 7	353,331	433,662	585,047
Town Facilities - Schedule 7	88,400	196,397	768,219
Town Services - Schedule 7	1,187,603	1,185,293	1,115,306
	<u>2,652,338</u>	<u>2,779,696</u>	<u>3,350,715</u>
Excess of Revenues over Expenditures	<u>\$ 661,691</u>	<u>\$ 1,856,984</u>	<u>\$ 284,053</u>

(Notes 1 to 18 are an integral part of these consolidated financial statements)

MIRSB

TOWN OF CORNWALL
SCHEDULES TO THE CONSOLIDATED FINANCIAL STATEMENTS
STATEMENT OF OPERATIONS - WATER AND SEWER UTILITY
YEAR ENDED MARCH 31, 2021

Schedule 4

	Budget 2021	Actual 2021	Actual 2020
Revenues			
Government transfers for capital - Note 12	\$ 150,000	\$1,619,989	\$ 485,844
Sewer levies	658,842	701,475	654,271
Water levies	644,000	661,624	639,270
Frontage rates	13,000	14,184	17,490
Interest on accounts	17,000	3,552	17,827
Inspection fees	1,500	2,230	2,030
Other	900	(7)	960
	<u>1,485,242</u>	<u>3,003,047</u>	<u>1,817,692</u>
Expenditures			
Administration fee	75,000	75,000	75,000
Amortization of tangible capital assets	-	402,578	349,640
Debit machine charges	5,650	5,635	6,223
Insurance	17,500	32,655	21,305
Interest on long term debt	78,636	51,828	71,541
Maintenance - lagoon	15,000	23,121	19,418
Maintenance - sewer	60,000	27,344	63,980
Maintenance - water	60,000	47,631	45,870
Memberships	1,500	1,878	1,339
Motor vehicle	22,000	23,919	18,880
Office	12,000	14,601	14,763
Power - sewer	94,500	88,625	90,728
Power - water	56,200	54,084	53,684
Professional fees	44,000	35,409	32,110
Property tax	1,720	3,456	2,027
Salaries and benefits	399,300	332,055	321,297
Telephone	5,500	4,647	7,251
Training and development	12,000	1,135	9,899
Water test and inspections	15,000	16,082	13,463
Water conservation program	4,000	290	237
	<u>979,506</u>	<u>1,241,973</u>	<u>1,218,655</u>
Excess of Revenues Over Expenditures	<u>\$ 505,736</u>	<u>\$1,761,074</u>	<u>\$ 599,037</u>

(Notes 1 to 18 are an integral part of these consolidated financial statements)

TOWN OF CORNWALL
SCHEDULES TO THE CONSOLIDATED FINANCIAL STATEMENTS
STATEMENT OF OPERATIONS - PARKS AND RECREATION
YEAR ENDED MARCH 31, 2021

Schedule 5

	Budget 2021	Actual 2021	Actual 2020
Revenues			
Programs	\$ 185,700	\$ 236,811	\$ 286,064
Government transfers for operations:			
- wage subsidies	90,000	188,901	146,634
- recreation leadership	5,000	5,000	5,000
- program support	5,000	1,900	983
Sports field rentals	40,770	42,894	60,652
Special events	7,000	9,631	9,899
	<u>333,470</u>	<u>485,137</u>	<u>509,232</u>
Expenditures			
Amortization of tangible capital assets	-	251,836	26,355
APM Centre rental	2,000	2,808	1,484
Ballfield	1,000	1,319	-
Civic Centre	56,300	55,383	49,863
Events	41,100	10,327	32,681
Motor vehicles	22,500	12,873	12,460
Parks and park equipment maintenance	54,500	43,309	36,090
Pool	8,550	4,464	7,170
Programs	41,300	26,854	48,836
Salaries and benefits	813,089	599,097	632,198
Terry Fox Clubhouse	30,200	35,067	24,296
Terry Fox Sports Fields	33,350	7,631	16,119
Training and development	5,000	1,465	3,540
Travel	4,000	2,211	2,992
	<u>1,112,889</u>	<u>1,054,644</u>	<u>894,084</u>
Deficiency of Revenues Over Expenditures	<u>\$ (779,419)</u>	<u>\$ (569,507)</u>	<u>\$ (384,852)</u>

(Notes 1 to 18 are an integral part of these consolidated financial statements)

MRSB

TOWN OF CORNWALL
SCHEDULES TO THE CONSOLIDATED FINANCIAL STATEMENTS
YEAR ENDED MARCH 31, 2021

			Schedule 6
	Budget 2021	Actual 2021	Actual 2020
Administration			
Advertising, printing and subscriptions	\$ 4,000	\$ 3,737	\$ 3,879
Amortization of tangible capital assets	-	54,911	-
Communities 13 Inc. capital projects	15,000	16,415	16,415
Communities 13 Inc.	11,000	10,430	10,593
Computers	7,500	3,945	2,579
Council honoraria	62,020	52,033	51,808
Debit machine charges	5,000	4,008	4,585
Donations	20,000	13,938	13,380
Election	7,592	17,735	7,593
FCM annual meeting	-	614	10,357
Insurance	36,045	39,213	45,115
Interest on long term debt	73,130	60,816	81,605
Meetings and events	11,600	4,879	6,956
Miscellaneous	34,000	25,765	12,122
Office supplies and postage	20,000	15,587	23,411
Salaries and benefits	355,425	266,173	239,732
Telecommunications	29,000	29,294	31,032
Training and development	8,000	6,280	3,346
Travel	1,250	1,470	1,702
	<u>\$ 700,562</u>	<u>\$ 627,243</u>	<u>\$ 566,210</u>
Planning			
Affordable housing	\$ -	\$ 5,063	\$ -
Annual conference and membership	4,500	240	4,649
Emergency measures plan	5,000	1,491	2,181
GIS	4,500	3,546	1,159
Salaries and benefits	199,052	210,860	206,563
Training and development	6,500	4,978	6,854
Travel	3,000	2,043	2,313
	<u>\$ 222,552</u>	<u>\$ 228,221</u>	<u>\$ 223,719</u>
Professional Services			
Audit	\$ 11,500	\$ 15,414	\$ 13,949
Bylaw enforcement	6,240	6,240	4,889
Engineering	5,000	5,549	5,329
Federation of Canadian Municipalities	1,650	1,770	1,633
Federation of P.E.I. Municipalities	10,500	10,662	10,521
Information technology	12,000	15,277	11,560
Legal	25,000	36,672	23,312
Miscellaneous	28,000	17,296	21,021
	<u>\$ 99,890</u>	<u>\$ 108,880</u>	<u>\$ 92,214</u>

(Notes 1 to 18 are an integral part of these consolidated financial statements)

MRSIB

TOWN OF CORNWALL
SCHEDULES TO THE CONSOLIDATED FINANCIAL STATEMENTS
YEAR ENDED MARCH 31, 2021

			Schedule 7
	Budget 2021	Actual 2021	Actual 2020
Public Works			
Amortization of tangible capital assets	\$ -	\$ 114,327	\$ 309,640
Community maintenance and repairs	27,500	21,207	25,343
Grass cutting	21,954	20,999	-
Property taxes	2,000	1,749	1,895
Salaries and benefits	213,877	172,775	167,663
Sidewalk maintenance	65,000	81,917	70,936
Small tools and supplies	10,000	11,522	1,787
Tractor	3,000	3,802	3,423
Trucks and snowblower	10,000	5,364	4,360
	<u>\$ 353,331</u>	<u>\$ 433,662</u>	<u>\$ 585,047</u>
Town Facilities			
Amortization of tangible capital assets	\$ -	\$ 109,301	\$ 676,684
Maintenance building	22,100	24,535	19,524
Town Hall	66,300	62,561	72,011
	<u>\$ 88,400</u>	<u>\$ 196,397</u>	<u>\$ 768,219</u>
Town Services			
Animal control	\$ 11,832	\$ 11,942	\$ 11,604
Engagement	9,000	388	9,800
Fire dues	312,656	322,899	286,382
Policing services	633,005	638,652	605,881
Street lights	97,000	89,313	92,154
Transit	124,110	122,099	109,485
	<u>\$1,187,603</u>	<u>\$1,185,293</u>	<u>\$ 1,115,306</u>

(Notes 1 to 18 are an integral part of these consolidated financial statements)